

Executive cost intelligence report

FY26 | Enterprise scope | Data as of 2026-06-12

Validated opportunity	Current opportunities	Top product	Top plant
USD 104.4M	128	Hydraulic Shovel 6030	Korea Plant

AI-grounded executive narrative

Total validated opportunity: USD 104.4M as of 2026-06-12

Executive Summary

This report highlights enterprise-wide cost reduction opportunities for FY26, totaling an estimated USD 104.4M across 128 opportunities. The leading plant for potential savings is the Korea Plant (USD 13.1M), the top equipment family (category) is Excavators (USD 57.2M), the primary product opportunity is the Hydraulic Shovel 6030 (USD 18.3M), and the key component opportunity is the Final Drive Motor (USD 7.8M). Logistics & Duties is a frequently identified primary cost driver across high-potential areas.

Category Performance

The following equipment families present the most significant cost reduction potential:

- * Excavators: Annual spend USD 69.9M, potential savings USD 57.2M (31.2% variance). Primary driver: Logistics & Duties.
- * Wheel Loaders: Annual spend USD 19.5M, potential savings USD 19.0M (52.5% variance). Primary driver: Logistics & Duties.
- * Dozers: Annual spend USD 17.6M, potential savings USD 18.6M (61.0% variance). Primary driver: Logistics & Duties.
- * Off Highway Trucks: Annual spend USD 10.7M, potential savings USD 8.7M (27.8% variance). Primary driver: Logistics & Duties.
- * Motor Graders: Annual spend USD 1.9M, potential savings USD 0.9M (13.6% variance). Primary driver: Logistics & Duties.

Product Opportunities

The top products driving potential savings are:

- * Hydraulic Shovel 6030 (Excavators): Potential savings USD 18.3M. Highest cost at USA Plant, lowest at Germany Plant.
- * Dozer D10 (Dozers): Potential savings USD 16.3M. Highest cost at Italy Plant, lowest at Sweden Plant.
- * Wheel Loader 994 (Wheel Loaders): Potential savings USD 12.7M. Highest cost at Korea Plant, lowest at Turkey Plant.
- * Hydraulic Shovel 6090 FS (Excavators): Potential savings USD 12.6M. Highest cost at Korea Plant, lowest at France Plant.
- * Hydraulic Shovel 6060 (Excavators): Potential savings USD 10.3M. Highest cost at China Plant, lowest at Czech Plant.

Plant Performance

Plants with the highest potential savings (based on above-benchmark unit costs) are:

- * Korea Plant: Potential savings USD 13.1M (63.7% variance). Primary driver: Logistics & Duties.
- * France Plant: Potential savings USD 10.8M (134.0% variance). Primary driver: Logistics & Duties.

- * USA Plant: Potential savings USD 8.7M (66.5% variance). Primary driver: Logistics & Duties.
- * Germany Plant: Potential savings USD 7.4M (63.1% variance). Primary driver: Logistics & Duties.
- * Malaysia Plant: Potential savings USD 6.4M (58.0% variance). Primary driver: Logistics & Duties.

Component Opportunities

The leading component opportunity identified is:

- * Final Drive Motor: Potential savings USD 7.8M. (A comprehensive list of all component opportunities is unavailable from the provided evidence.)

Cost Driver Analysis

The primary cost driver repeatedly identified across high-potential categories and plants is Logistics & Duties. This indicates a systemic area for investigation. (The detailed `cost\_drivers` array is empty in the provided evidence, limiting a more granular breakdown.)

Recommended Actions

The following high-value quick wins are recommended for immediate drill-down:

- * Final Drive Motor at France Plant: USD 7.0M potential savings. Action: Initiate workflow for `OPP-000013`.
- * Alternator at Malaysia Plant: USD 6.2M potential savings. Action: Initiate workflow for `OPP-000104`.
- * Engine Control Module at Korea Plant: USD 5.4M potential savings. Action: Initiate workflow for `OPP-000110`.
- * Hydraulic Pump at South Africa Plant: USD 4.5M potential savings. Action: Initiate workflow for `OPP-000075`.
- * Hydraulic Pump at Korea Plant: USD 4.4M potential savings. Action: Initiate workflow for `OPP-000016`.

Decisions Required

The following product opportunities are awaiting leadership decisions to proceed with savings realization:

- * Wheel Loader 994: USD 12.7M potential savings.
- * Hydraulic Shovel 6030: USD 10.3M potential savings.
- * Hydraulic Shovel 6090 FS: USD 5.3M potential savings.
- * Dozer D10: USD 3.0M potential savings.
- * Excavator 336: USD 2.2M potential savings.

Portfolio priorities

Backend-ranked measures; AI does not calculate these values.

Dimension	Leader	Potential savings	Variance
Plant	Korea Plant	USD 13.1M	63.7%
Category	Excavators	USD 57.2M	31.2%
Product	Hydraulic Shovel 6030	USD 18.3M	40.8%
Component	Final Drive Motor	USD 7.8M	55.4%

Recommended quick wins

Rank	Opportunity	Savings	Confidence	Why now
1	Final Drive Motor at France Plant	USD 7.0M	69%	High-priority value with a current, validated cost gap.
2	Alternator at Malaysia Plant	USD 6.2M	82%	Savings are available with a lower immediate decision pressure.
3	Engine Control Module at Korea Plant	USD 5.4M	93%	Material savings supported by current benchmark evidence.
4	Hydraulic Pump at South Africa Plant	USD 4.5M	87%	Savings are available with a lower immediate decision pressure.
5	Hydraulic Pump at Korea Plant	USD 4.4M	87%	High-priority value with a current, validated cost gap.

Leading products

Product	Opportunity	Variance	Plants
Hydraulic Shovel 6030	USD 18.3M	40.8%	Germany Plant / USA Plant
Dozer D10	USD 16.3M	82.6%	Sweden Plant / Italy Plant
Wheel Loader 994	USD 12.7M	67.1%	Turkey Plant / Korea Plant
Hydraulic Shovel 6090 FS	USD 12.6M	30.3%	France Plant / Korea Plant
Hydraulic Shovel 6060	USD 10.3M	31.5%	Czech Plant / China Plant
Excavator 336	USD 6.9M	21.6%	Korea Plant / Canada Plant

Category performance

Category means CAT equipment family; cost drivers are reported separately.

Equipment category	Products	Annual spend	Opportunity	Variance	Primary driver
Excavators	6	USD 69.9M	USD 57.2M	31.2%	Logistics & Duties
Wheel Loaders	3	USD 19.5M	USD 19.0M	52.5%	Logistics & Duties
Dozers	3	USD 17.6M	USD 18.6M	61.0%	Logistics & Duties
Off Highway Trucks	3	USD 10.7M	USD 8.7M	27.8%	Logistics & Duties
Motor Graders	3	USD 1.9M	USD 925.8K	13.6%	Logistics & Duties